

26STCV07238 26STCV07238

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-08-07

Motion: DEFENDANT'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

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Case Number: 26STCV07238 Hearing Date: August 7, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

TOMER

ROTHOLZ, an individual; MATAR ROTHOLZ, an individual,

Plaintiffs,

vs.

MERCEDES-BENZ USA, LLC, a Delaware Limited Liability

Company; and DOES 1 through 20, inclusive,

Defendants.

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CASE

NO.: 26STCV07238

[TENTATIVE]

ORDER RE: DEFENDANT'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

Dept. 733

8:30 a.m.

August 7, 2026

I.

INTRODUCTION

This is a
Song-Beverly action.

On March 5, 2026,
Plaintiffs Tomer Rotholz and Matar Rotholz ("Plaintiffs") filed a

complaint against Defendant Mercedes-Benz
USA, LLC ("Defendant") alleging causes of action for (1) Breach of Implied
Warranty of Merchantability and (2) Breach of Express Warranty.

On
April 27, 2026, Defendant filed the instant motion to compel arbitration.

On

July 27, 2026, Plaintiffs filed an opposition.

On

July 31, 2026, Defendant filed a reply.

II.

LEGAL STANDARD

Under Code of

Civil Procedure section 1281.2, a court may order arbitration of a controversy if it finds that the parties have agreed to arbitrate that dispute. Because the obligation to arbitrate arises from contract, the court may compel arbitration only if the dispute in question is one in which the parties have agreed to arbitrate. (*Weeks v. Crow* (1980) 113 Cal.App.3d 350, 352.) Since arbitration is a favored method of dispute resolution, arbitration agreements should be liberally interpreted, and arbitration should be ordered unless the agreement clearly does not apply to the dispute in question. (*Id.* at p. 353; *Segal v. Silberstein* (2007) 156 Cal.App.4th 627, 633.)

III.

EVIDENTIARY OBJECTIONS

Plaintiffs object

to the Declaration of Sybil Leung submitted in support of the instant

motion. The Court overrules

Plaintiffs' objections.

IV.

DISCUSSION

a. Existence of Valid Arbitration Agreement

"Arbitration is a

matter of contract." (*Metalclad Corp. v. Ventana Env't Organizational P'ship* (2003) 109 Cal.App.4th 1705, 1711.) "General principles of contract law determine whether the parties have entered a binding agreement to arbitrate." (*Craig v. Brown & Root, Inc.*, 84 Cal.App.4th 416, 420 (2000); *Engalla v. Permanente Medical Group, Inc.*, 15 Cal.4th 951, 971-72 (1997).) "In determining whether an arbitration agreement exists, we

apply the same rules of contract formation as for any other contract.” (Weeks v. Interactive Life Forms, LLC (2024) 100 Cal.App.5th 1077, 1084.)

Under California

law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Once petitioners

allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, “petitioner bears the burden of proving [the arbitration agreement’s] existence by a preponderance of the evidence.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413. See also Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1058-1060.)

“With respect to

the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160). “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, Rule 3.1330.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker, supra, 13 Cal.App.5th at p. 1160.)

Here, Defendant provides that on June

21, 2025, Plaintiffs signed a Lease for the Subject Vehicle, and in that Lease was an agreement to arbitrate. (Leung Decl., ¶ 2, Ex. 1.) While Plaintiffs object to Ms. Leung's introduction of the Lease Agreement, "it is not necessary to follow the normal procedures of document authentication" in determining whether Defendant has met its burden on this first step. (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-19 ["A plain reading of [section 1281.2] indicates that as a preliminary matter the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity."].) "Petitioner need only allege the existence of an agreement and support the allegation as provided in rule 371." (Id. at p. 219.) Thus, "[t]he party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature," which Defendant has done here. (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541, 544.)

And notably, Plaintiffs do not challenge that the proposed electronic signatures on the Lease Agreement are not their own. (See Bannister, supra, 64 Cal.App.5th at p. 544 (internal citations omitted) ["Where, as here, the respondent challenges the validity of the signature, however, the petitioner must 'establish by a preponderance of the evidence that the signature was authentic.' In such proceedings, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.""]; Ruiz v. Moss Bros. Auto Grp., (2014) 232 Cal.App.4th 836, 845 [finding that defendants had the burden of providing by a preponderance of the evidence that plaintiff's electronic signature was authentic after plaintiff placed the signature in dispute by claiming that he did not recall signing the arbitration agreement.].) In fact, both Plaintiffs declare that "[o]n or around June 21, 2025, [they] leased a 2025 Mercedes-Benz C63, VIN W1KAF8AB4SR270919 ("Vehicle") for which [they] entered into and executed a Motor Vehicle Lease Agreement with Mercedes Benz of Calabasas." (M.Rotholz Decl., ¶ 3; T.Rotholz Decl., ¶ 3.)

Next, the Arbitration Provision in the Lease, located on the fourth page of the Lease Agreement that Defendant provides, has a large and bordered notice, which states "Important Arbitration Disclosures." (Leung Decl., ¶ 2, Ex. 1 at p. 4.) The Provision proceeds to state:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third-Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Ibid.)

Furthermore, Defendant has sufficiently demonstrated that it can enforce the Lease Agreement as a third-party beneficiary.

Civil Code section 1559 provides that

"[a] contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." "A third party may qualify as a beneficiary under a contract where the contracting parties must have intended to benefit that third party and such intent appears on the terms of the contract. (Citation.) However, it is well settled that Civil Code section 1559 excludes enforcement of a contract by persons who are only incidentally or remotely benefited by it." (Jones, supra, 26 Cal.App.4th at p. 1724.) "A third party should not be permitted to enforce covenants made not for his benefit, but rather for others. He is not a contracting party; his right to performance is predicated on the contracting parties' intent to benefit him...." (Cancino v. Farmers Ins. Group (1978) 80 Cal.App.3d 335, 344.)

"Whether a third party is an intended beneficiary or merely an incidental beneficiary to the contract involves construction of the parties' intent, gleaned from reading the contract as a whole in light of the circumstances under which it was entered." (Jones, supra, 26 Cal.App.4th at p. 1725; Stern v. Does (C.D. Cal. 2011) 978 F. Supp. 2d 1031,

1039 ["Under California contract law, 'a purported third-party beneficiary must show that the contract was "made expressly for the benefit of a third person"'—as opposed to the case where the third person is merely an 'incidental' beneficiary."].)

Here, as provided above, the Arbitration Provision explicitly states that Defendant (Mercedes-Benz USA LLC) is a third-party beneficiary to the Lease Agreement, allowing Defendant to enforce the Lease's terms. This case is expressly distinguishable from Ford Warranty Cases, where the Supreme Court concluded that the arbitration clause, between the plaintiffs and respective dealers, does not extend to Ford, the manufacturer and nonsignatory to the sales contract, because "Plaintiffs and Ford have not agreed to anything, much less to arbitrate any dispute between them." (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1129.) The Supreme Court concluded that Ford could not rely on an estoppel theory to bind the plaintiffs to arbitration because "plaintiffs' warranty and fraud claims do not seek to enforce any contractual term. Indeed, plaintiffs' claims would be the same even if there were no sales and financing contract." (Id. at p. 1131.) However there, the language of the arbitration clause "allowed the contractual parties to arbitrate " 'ANY DISPUTE BETWEEN US' " (italics added), i.e., between plaintiffs and the dealers." (Id. at p. 1129.) In contrast here, the language of the Arbitration Provision specifically names Defendant as a third-party beneficiary and explicitly includes Defendant in the term "us." (Leung Decl., ¶ 2, Ex. 1 [" . . . between you and us or any of our employees, agents , successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third-Party Beneficiary")"].) Thus, Ford Warranty Cases is inapplicable.

Lastly, there is no genuine dispute that the instant action "arose out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease," as this is a lemon law action initiated due to alleged defects of the Subject Vehicle and the "resulting" warranty relationship that followed the execution of the Lease.

The Court finds that Defendant has met its burden in showing that a valid arbitration agreement exists. The burden shifts to Plaintiffs.

b.

Waiver and Judicial Estoppel

“While acknowledging that both the FAA and our state-law analogue, the CAA, allow a court to deny a petition to compel arbitration based on waiver, we emphasized that ‘the party seeking to establish a waiver bears a heavy burden of proof’ and ‘any doubts regarding a waiver allegation should be resolved in favor of arbitration.’ (Citation.)” (Quach v. California Com. Club, Inc. (2024) 16 Cal.5th 562, 573.)

“In the past, California courts have found a waiver of the right to demand arbitration in a variety of contexts, ranging from situations in which the party seeking to compel arbitration has previously taken steps inconsistent with an intent to invoke arbitration [citations] to instances in which the petitioning party has unreasonably delayed in undertaking the procedure. [Citations.]’ (Citation.)” (Desert Reg'l Med. Ctr., Inc. v. Miller (2022) 87 Cal.App.5th 295, 315.) “To properly invoke the right to arbitrate, a party must (1) timely raise the defense and take affirmative steps to implement the process, and (2) participate in conduct consistent with the intent to arbitrate the dispute. Both of these actions must be taken to secure for the participants the benefits of arbitration.’ (Citation.)” (Ibid.)

“While waiver is not a mechanical process, and no one factor is predominant, the pertinent factors for this appeal are: (1) Did the party seeking arbitration act inconsistently with the right to arbitrate or otherwise substantially invoke the litigation process? (2) Are the parties “well into preparation” of the lawsuit? (3) Is there an imminent trial date? (4) Has the delay affected, misled, or prejudiced the opposing party?” (Burton v. Cruise (2011) 190 Cal.App.4th 939, 944–45.)

Although participating in the litigation of an arbitrable claim does not by itself waive a party's right to later seek to arbitrate the matter, at some point continued litigation of the dispute justifies a finding of waiver.” (Fleming Distribution Co. v. Younan (2020) 49 Cal.App.5th 73, 80.)

Plaintiffs

first argue that Defendant has waived its right to arbitrate by electing to opt in into Code of Civil Procedure section 871. Defendant here did not engage in actions inconsistent with an intent to arbitrate. Plaintiffs filed suit on March 5, 2026; MBUSA moved to compel on April 27, 2026, before filing any responsive pleading. MBUSA has not answered, demurred, taken or responded to discovery, or sought any ruling on the merits. Plaintiffs identify no litigation conduct at all and none exists on the Court's docket. Defendant even represents multiple times in its Case Management Statement that it intends to pursue arbitration. (See Case Management Statement [filed July 28, 2026] at ¶¶ 15, 18.)

Plaintiffs instead point to Defendant's general election to opt into section 871 in April 2025, prior to this case even being filed. There is simply no waiver present. (Burton, supra, 190 Cal.App.4th at p. 945 ["We recognize that waiver is not to be lightly inferred and the party seeking to establish it bears a "heavy burden of proof," with all doubts resolved in favor of arbitration"]; id. at p. 949 [finding waiver when the Defendant "did not nothing to bring about arbitration for some 11 months, taking action only weeks before the scheduled trial date" and Plaintiff "not only designated his medical experts, but had completed discovery, including depositions"].)

For

similar reasons, Plaintiffs' argument for judicial estoppel premised on the Defendant's opting in fails as well. (Jackson v. County of Los Angeles (1997) 60 Cal.App.4th 171, 181 ["Judicial estoppel prevents a party from asserting a position in a legal proceeding that is contrary to a position previously taken in the same or some earlier proceeding. The doctrine serves a clear purpose: to protect the integrity of the judicial process. . . . Consequently, judicial estoppel is especially appropriate where a party has taken inconsistent positions in separate proceedings."].) Regardless, Plaintiffs have provided no authority for the contention that opting into section 871 would be considered a "proceeding" as the word is used in the doctrine of judicial estoppel.

IV. CONCLUSION

Defendant's motion

to compel arbitration is GRANTED. The matter is hereby stayed pending

arbitration.

Dated this 7th
day of August 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court